<u>מידע תמציתי עבור אלקטרה נדל"ן בדוחות הכספיים של אלקו:</u>

החברה מציגה בדוחותיה הכספיים מידע תמציתי לגבי החברות הבאות:

- ריט (REIT) פרטית למלונות בארה"ב (Electra Hospitality).
- קרן רביעית להשקעות במקבצי דיור בארה"ב (American Landmark Electra Multifamily Investments Fund IV, LP)
- חברת הניהול של פעילות מקבצי הדיור בארה"ב - AMERICAN LANDMARK MANAGEMENT LLC.

<u>להלן מידע תמציתי מתוך דוחותיה הכספיים של ריט (REIT) פרטית למלונות בארה"ב (Electra Hospitality):</u>
<u>(הנתונים הינם לפי 100%)</u>

	ליום 30 ביוני		ליום 31 בדצמבר
	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר
	(בלתי מבוקר)		(מבוקר)
נכסים שוטפים	31,615	29,346	41,447
נכסים לא שוטפים	675,860	706,389	690,422
התחייבויות שוטפות	54,537	85,401	84,116
התחייבויות לא שוטפות	784,693	691,455	725,092
נכסים, נטו	(131,755)	(41,121)	(77,339)
הון המיוחס לבעלי המניות	(131,755)	(41,121)	(77,339)
סכומים אלה כוללים את הנכסים וההתחייבויות הבאים:			
מזומנים ושווי מזומנים	9,672	9,186	18,677
התחייבויות פיננסיות (לא כולל ספקים, זכאים אחרים, הלוואות בעלים והפרשות)	429,019	419,910	416,704

	לתקופה של שישה חודשים שהסתיימה ביום 30 ביוני		לתקופה של שלושה חודשים שהסתיימה ביום 30 ביוני		לשנה שהסתיימה ביום 31 בדצמבר
	2026	2025	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר
	(בלתי מבוקר)		(בלתי מבוקר)		(מבוקר)
הכנסות	63,160	56,614	33,267	32,138	114,103
הפסד תפעולי	(15,345)	(15,264)	(5,579)	(4,570)	(30,323)
הפסד לתקופה (*)	(54,461)	(52,123)	(25,173)	(23,399)	(104,761)
הוצאות ריבית (לא כולל הוצאות לבעלי המניות)	19,468	20,547	9,719	10,494	40,348

*פעילות המלונות מבוצעת במסגרת שותפות ריט פרטית אמריקאית. בהתאם לדרישות התקינה החשבונאית, מוצגים בתי המלון בדוחותיה הכספיים של אלקטרה נדל"ן ובביאור מגזרים ברי דיווח כרכוש קבוע ובהתאם נזקפות הוצאות פחת תקופתיות המוצגות בעלות המכר.

להלן מידע תמציתי מתוך דוחותיה הכספיים של הקרן רביעית להשקעות במקבצי דיור בארה"ב (American Landmark Electra Multifamily Investments Fund IV, LP): (הנתונים הינם לפי 100%)

	ליום 30 ביוני		ליום 31 בדצמבר
	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר
נכסים שוטפים	55,969	54,786	55,730
נכסים לא שוטפים (*)	2,389,176	2,189,400	2,284,236
התחייבויות שוטפות	34,699	33,592	28,483
הלוואות בעלים	377,100	320,722	348,980
התחייבויות לא שוטפות	1,334,260	1,258,481	1,288,052
נכסים, נטו	699,086	631,391	674,452
הון המיוחס לבעלי המניות	699,086	631,391	674,452
סכומים אלה כוללים את הנכסים וההתחייבויות הבאים:			
מזומנים ושווי מזומנים	8,096	9,304	5,822
התחייבויות פיננסיות (לא כולל ספקים, זכאים אחרים, הלוואות בעלים והפרשות)	1,334,260	1,258,481	1,288,052

(*) נכסים לא שוטפים כולל 2,341 מיליון דולר נדל"ן להשקעה המוצג בשווי הוגן והיתרה מייצגת השקעה בחברות המוצגות לפי השווי המאזני המחזיקות נדל"ן להשקעה המוצג בשווי הוגן.

	לתקופה של שישה חודשים שהסתיימה ביום 30 ביוני		לתקופה של שלושה חודשים שהסתיימה ביום 30 ביוני		לשנה שהסתיימה ביום 31 בדצמבר
	2026	2025	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר
	(בלתי מבוקר)		(בלתי מבוקר)		(מבוקר)
הכנסות	90,027	89,485	45,082	44,906	178,524
רווח תפעולי	42,222	43,139	20,878	21,612	86,806
התאמות שווי הוגן	8,787	35,485	6,626	36,830	104,984
תוצאות חברות המטופלות לפי שיטת השווי המאזני, נטו	4,469	(1,565)	312	(548)	(2,771)
רווח (הפסד) לתקופה	(6,261)	19,441	(640)	28,969	69,440
הוצאות ריבית (לא כולל הוצאות לבעלי המניות)	34,124	34,605	17,148	17,174	67,451

להלן מידע תמציתי מתוך דוחותיה הכספיים של חברת הניהול של פעילות מקבצי הדיור בארה"ב - AMERICAN LANDMARK MANAGEMENT LLC: (הנתונים הינם לפי 100%)

	ליום 30 ביוני		ליום 31 בדצמבר
	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר
	(בלתי מבוקר)		(מבוקר)
נכסים שוטפים	19,421	13,974	14,104
נכסים לא שוטפים	3,838	4,053	3,953
התחייבויות שוטפות	47,261	36,893	39,176
התחייבויות לא שוטפות	26,680	22,662	24,527
נכסים, נטו	(50,681)	(41,527)	(45,646)
הון המיוחס לבעלי המניות	(50,681)	(41,527)	(45,646)
סכומים אלה כוללים את הנכסים וההתחייבויות הבאים:			
מזומנים ושווי מזומנים	11,492	9,835	7,491

	לתקופה של שישה חודשים שהסתיימה ביום 30 ביוני		לתקופה של שלושה חודשים שהסתיימה ביום 30 ביוני		לשנה שהסתיימה ביום 31 בדצמבר
	2026	2025	2026	2025	2025
	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר	אלפי דולר
	(בלתי מבוקר)		(בלתי מבוקר)		(מבוקר)
הכנסות	11,409	13,531	5,787	6,070	25,400
הפסד תפעולי	(4,896)	(5,070)	(2,908)	(3,371)	(12,374)
הפסד לתקופה	(5,962)	(5,781)	(3,338)	(3,733)	(14,024)

ELECTRA MULTIFAMILY INVESTMENTS FUND II, L.P.

INTERIM CONSOLIDATED FINANCIAL STATEMENTS

AS OF JUNE 30, 2026

UNAUDITED

INDEX

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Review report

to the members of

ELECTRA MULTIFAMILY INVESTMENTS FUND II, L.P.

Introduction

We have reviewed the accompanying financial information of Electra Multifamily Investments Fund II, L.P. ("the Partnership"), which comprises the interim consolidated statements of financial position as of June 30, 2026, and the related interim consolidated statements of profit or loss for the six and three months periods then ended, changes in members' capital and cash flows for the six months periods then ended. The Partnerships' board of directors and management are responsible for the preparation and presentation of interim financial information for these periods in conformity with U.S. generally accepted accounting principles. Our responsibility is to express a conclusion on this interim financial information based on our review.

Scope of review

We conducted our review in accordance with Review Standard (Israel) 2401 of the Institute of Certified Public Accountants in Israel, "Review of interim Financial Information Performed by the independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards in Israel and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review nothing has come to our attention that causes us to believe that the accompanying interim financial information is not prepared, in all material respects, in conformity with U.S. generally accepted accounting principles, which differ in certain respects from the IFRS, as describe in Note 11, to the consolidated financial statements.

Tel-Aviv, Israel
August 19 , 2026

KOST FORER GABBAY & KASIERER
A Member of EY Global

INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Note	June 30, 2026 Unaudited	December 31, 2025 Audited
		U.S. dollars in thousands	
Real estate, net	4	112,439	190,927
Investments in unconsolidated entities	6	13,657	29,086
Investments in unconsolidated entities – held for sale	7	11,615	-
Cash		73,350	57,665
Restricted cash		1,959	6,783
Accounts receivable		3,347	3,403
Receivables due from related parties		2,570	2,511
Prepaid expenses		692	427
Deposits		28	37
Assets held for sale	5	78,052	53,616
Total assets		297,709	344,455
LIABILITIES AND MEMBERS' CAPITAL			
Real estate mortgages, net	9	92,730	149,367
Accounts payable		222	1,291
Accrued expenses		4,389	8,148
Security deposits payable		26	60
Other liabilities (including payables due to related parties) (*	8	69,697	36,642
Liabilities attributed to asset held for sale	9	57,360	41,037
Total liabilities		224,424	236,545
MEMBERS' CAPITAL:			
Members' capital		73,285	107,910
Total liabilities and members' capital		297,709	344,455

(* Includes USD 68 million and USD 36 million in distributions held back for blockers as of June 30, 2026 and December 31, 2025, respectively.

The accompanying notes are an integral part of the interim consolidated financial statements.

August 19 , 2026		
Date of approval of the financial statements	Joseph G. Lubeck Managing Member	James G. Miller Member

INTERIM CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Note	Six months ended June 30,		Three months ended June 30,	
		2026	2025	2026	2025
		Unaudited		Unaudited	
		U.S. dollars in thousands			
Revenues:					
Rental income		15,100	33,970	7,001	16,971
Other income		18	95	3	95
Total revenue		15,118	34,065	7,004	17,066
Expenses:					
Rental expenses		8,347	16,680	4,066	8,387
General and administrative expenses		1,418	2,311	627	1,154
Depreciation		3,680	7,542	1,710	3,673
Total expenses		13,445	26,533	6,403	13,214
Fund's share of profit or (losses) of entities accounted for at equity		(2,910)	2,917	(663)	(239)
Gain or (loss) on sale of property	4.c	22,626	35,127	(17)	34,766
Income before interest expense - mortgage loans		21,389	45,576	(79)	38,379
Interest expense - mortgage loans		3,994	7,569	1,530	3,930
Income before interest to related parties		17,395	38,007	(1,609)	34,449
Interest expense to related parties - members' loans and related parties' loans		476	1,340	225	702
Interest expense to non-related parties		-	-	-	345
Income (loss)		16,919	36,667	(1,834)	33,402
Attributable to:					
Equity holders of the Company		13,080	30,573	(10,296)	27,608
Non-controlling interests		3,839	6,094	8,462	5,794
Comprehensive income (loss)		16,919	36,667	(1,834)	33,402

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN MEMBERS' CAPITAL

	Members' capital	Non-controlling interest	Total capital
	U.S. dollars in thousands		
Balance as of January 1, 2026	91,517	16,393	107,910
Members' distributions	(46,100)	(5,444)	(51,544)
Income for the period	13,080	3,839	16,919
Balance as of June 30, 2026 (unaudited)	58,497	14,788	73,285

	Members' capital	Non-controlling interest	Total capital
	U.S. dollars in thousands		
Balance as of January 1, 2025	149,048	24,594	173,642
Members' distributions	(49,690)	(14,840)	(64,530)
Income for the period	30,573	6,094	36,667
Balance as of June 30, 2025 (unaudited)	129,931	15,848	145,779

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months ended June 30,	
	2026	2025
	Unaudited	
	U.S. dollars in thousands	
Cash flows from operating activities:		
Income	16,919	36,667
Adjustments to reconcile to net cash provided by operating activities:		
Depreciation	3,680	7,542
Amortization of deferred financing costs, real estate mortgage loans	253	482
Fund's share of earnings of companies accounted for at equity, net	3,536	2,154
Fund's share of earnings of companies accounted for at equity, held for sale	278	(3,773)
Gain on sale of property	(22,626)	(35,127)
Increase in accounts receivable	(49)	(131)
Decrease in accounts payable	(1,040)	(422)
Decrease in accrued expenses	(3,813)	(5,043)
Decrease in security deposits payable	(20)	(59)
Increase (decrease) in other liabilities	1,229	(9,015)
Increase in receivables due from related parties	(59)	(140)
Increase in payables due to related parties	31,871	18,830
Increase in prepaid expenses	(393)	(517)
Net cash provided by operating activities	29,766	11,448
Cash flows from investing activities:		
Proceeds from sale of properties	72,993	115,494
Net cash provided by (used in) investing activities	72,993	115,494
Cash flows from financing activities:		
Distribution to the Partnership's members	(46,100)	(49,690)
Repayment of real estate mortgages, net	(40,543)	(53,767)
Distribution attributable to non-controlling interests	(5,444)	(14,840)
Net cash used in financing activities	(92,087)	(118,297)
Net (decrease) increase in cash and restricted cash	10,672	8,645
Cash and restricted cash at the beginning of the period	66,519	68,241
Cash and restricted cash at the end of the period	77,191	76,886

The accompanying notes are an integral part of the interim consolidated financial statements.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1:- GENERAL

Electra Multifamily Investments Fund II, L.P., a Delaware limited partnership, was incorporated on April 3, 2018 ("the Fund"). The Fund conducts all of its operations through consolidated and investees entities. The Fund is in the business of acquiring and owning a portfolio of quality and growth potential properties in the southeast of the United States. The Fund's properties are managed by American Landmark Management ("the Management Company"), a related party of the Fund.

These financial statements have been prepared in a condensed format as of June 30, 2026, and for the six and three month periods then ended ("interim consolidated financial statements"). These financial statements should be read in conjunction with the Company's annual financial statements as of December 31, 2025, and for the period that ended and the accompanying notes ("annual consolidated financial statements").

The Fund was formed by the EMIF II Management LLC GP ("the General Partner"), a related party of the Fund. The ownership rights in the Fund are held by EMIF II- Feeder I, L.P., EMIF II- Feeder II, L.P., EMIF II- Feeder IIA, L.P., EMIF II- Feeder III, L.P., EMIF II- Feeder IIIA, L.P., EMIF II- Feeder IV, L.P., and EMIF II- Feeder V, L.P.

In July 2019, the Fund announced on final closing and raise of a total amount of $ 462 million. The General Partner (along with its related parties) invests a minimum of $30 million or 10% of the entire investment commitment in the Fund. Moreover, the Fund's agreement determines the investment policy and the entitlement to promote payments to the General Partner, and related parties.

As of June 30, 2026, the Fund owns 10 properties – 5 properties held through subsidiaries with an aggregate of 1,484 apartment units includes 2 properties that are classified as held for sale with 568 apartments and 5 properties, with an aggregate of 2,442 apartment units, are held through equity method investees includes 1 propriety that is classified as held for sale with 576 apartments.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation of the financial statements

The summary of significant accounting policies presented below is designed to assist in understanding the Fund's financial statements. These financial statements have been prepared in accordance with accounting principles generally accepted in the U.S. ("U.S. GAAP"), in all material respects.

Principles of consolidation:
The consolidated financial statements incorporate the financial statements of the Fund and all of its subsidiaries. Intercompany transactions and balances have been eliminated upon consolidation.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

a. Use of estimates:

The preparation of the consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The most significant estimates relate to the impairment and depreciable lives of long-lived assets and measured transactions with related parties according to fair value.

b. Functional currency and presentation currency:

The functional currency of the Fund and its investees is the U.S. dollar as it is the currency of the primary economic environment in which the Fund is operating.
The Fund has elected to use the U.S. dollar as its reporting currency for all periods presented.

c. Real estate:

Real estate is stated at historical cost less accumulated depreciation and impairments. Expenditures that significantly improve or extend the life of an asset are capitalized. Maintenance and repairs that do not improve or extend the life of an asset are charged to expense when incurred. When real estate assets are sold or retired, their cost and related accumulated depreciation are removed from the Fund's records, and any gain or loss is reported in the statement of operations.
Depreciation is recorded using the straight-line method over the estimated lives of the related assets as follows:

	Years
Building and building improvements	40
Site improvements	15
Furniture and fixtures	7

d. Impairment of long-lived assets:

The long-lived assets of the Fund and its subsidiaries are reviewed for impairment in accordance with ASC 360, "Property, Plant and Equipment", whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets held and used is measured by a comparison of the carrying amount of an asset to the future undiscounted cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment recognized is measured by the carrying amount of the assets exceeding the fair value of the assets. As of June 30, 2026 and June 30, 2025 no impairment losses have been identified.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

e. Restricted cash:

The Fund classifies all cash that is not available for general use by the Fund, due to restrictions in specific agreements, as restricted cash. Restricted cash consists of funds restricted for tenant deposits and funds held in escrow for future rehab, property tax and insurance payments.
Cash, cash equivalents and restricted cash are included the following:

	June 30, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Cash and cash equivalents as reported on the balance sheet	73,350	57,665
Restricted cash as reported on the balance sheet	1,959	6,783
Cash and restricted cash - held for sale	1,882	2,071
	77,191	66,519

f. Debt issuance costs:

Debt issuance costs related to term loans presented as a direct deduction from the carrying amount of the associated debt liability. The debt issuance costs are still amortized on a straight-line basis, which approximates the effective interest method, over the term of the loan. As of June 30, 2026 and June 30, 2025 the total amortization expenses were approximately US$ 253 thousand and US$ 482 thousand, respectively

g. Revenue recognition:

Rental income

The Fund generates revenues from fixed income real-estate according to ASC 842 which derived from its multifamily apartments' units to residential tenants under leases up to 13 months.
Rental income includes minimum rents which are recognized on an accrual basis over the terms of the related leases on a straight-line basis. Lease revenue recognition commences when lessee is given possession of the leased space and there are no contingencies offsetting the lessee's obligation to pay rent.

h. Accounts receivable:

Accounts receivable consists of unpaid charges for base rent, services, and other charges to tenants. Accounts receivable are carried at the original invoice amount less any provisions for uncollectable accounts. Provisions for Credit losses are made when there is a risk for non-payments, taking into account aging, previous experience with the tenant, financial

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

condition of the tenant, and other relevant factors. When accounts receivable are determined to be uncollectible, they are written off, firstly against any provision available and then to the statement of operations. As of June 30, 2026 and June 30, 2025 the Fund had no provisions for uncollectible accounts.

i. Income taxes:

As a limited liability company, the Fund is treated as a partnership for federal and state income tax purposes and, accordingly, is not subject to company-level tax. Taxable income or losses are allocated to the members in accordance with the Operating Agreement.

Therefore, no provision or liability for income taxes has been included in the accompanying financial statements. The Fund is subject to U.S. federal and state examinations by taxing authorities.

j. Risk and uncertainties:

Real estate companies are subject to various risks and uncertainties that could cause actual results to differ from the estimates made in the Fund's financial statements. The following factor could negatively affect the Fund's accounting estimates as well as the Fund's future operating results, liquidity, and financial condition: inability to access capital, including an inability to obtain financing or refinance maturing loans.

k. Investments in equity method investees:

Unconsolidated entities are companies in which the Fund has significant influence over the financial and operating policies without having control. The investment in those investees is accounted for using the equity method. Under the equity method, the investment in unconsolidated entities is accounted for in the financial statements at cost plus changes in the Group's share of net assets, including other comprehensive income (loss) of the investee

NOTE 3:- DISCLOSURE OF NEW STANDARDS IN THE PERIOD PRIOR TO THEIR ADOPTION

a. In July 2025, the FASB issued ASU 2025-05, to address complexities in applying current expected credit losses for current accounts receivable and contract assets. The amendments allow entities to make an accounting policy election to apply a practical expedient when estimating expected credit losses for certain assets, which allows entities to assume that economic conditions at the balance sheet date will remain unchanged for the remaining life of those assets. The Company adopted the provisions of the amendments as of January 1, 2026. The adoption of this amendment did not have a material impact on the Company’s consolidated financial statements.

b. In December 2025, the FASB issued ASU 2025-11, Interim Reporting (Topic 270): Narrow-Scope Improvements, which clarifies the guidance in Topic 270 to improve the consistency of interim financial reporting. The ASU provides a comprehensive list o

NOTE 3:- DISCLOSURE OF NEW STANDARDS IN THE PERIOD PRIOR TO THEIR ADOPTION (Cont.)

required interim disclosures and introduces a disclosure principle requiring entities to disclose events since the end of the last annual reporting period that have a material impact on the entity. ASU 2025-11 is effective for fiscal years beginning after December 15, 2028, including interim periods within those fiscal years, with early adoption permitted. The Company is currently evaluating the impact of adopting ASU 2025-11.

NOTE 4:- REAL ESTATE, NET

a. Real estate, net including real estate classified as held for sale consisted of the following:

	June 30, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Land	20,807	26,134
Building, improvements, and equipment (1)	213,587	268,078
Accumulated depreciation	(46,251)	(52,024)
Real estate, net	188,143	242,188

(1) Building, improvements, and equipment costs include soft costs in the amount of US$ 0.5 million (2025- US$ 0.6 million), and hard costs in the amount of US$ 12.6 million (2025- US$ 13.9 million). Soft costs consist of fees incurred to a related party. Depreciation expense years ended June 30, 2026, are US$ 3.68 million (2025- US$ 13.4 million).

b. The following are consolidated investments:

Name of property	Location	Units	% EMIF II
Evolv	Texas	334	62%
The View at Lakeside	Texas	360	83%
Alon at Castle Hills	Texas	306	100%
The JaXon	Texas	250	100%
Lakefront Villas	Texas	234	100%

c. During February 2026, the Fund sold the property - Elite 99 West located in Katy, TX, that was treated as held for sale as of December 31, 2025. The Fund's capital gain from the sale is US$ 22.6 million. The initial capital contribution invested by the Fund in the property was US$ 20.2 million.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

NOTE 5:- ASSETS HELD FOR SALE

a. The following are investments classified on the consolidated balance sheets as investments in consolidated entities held for sale:

Name of property	Location	Units	% EMIF II
Evolv (1)	Texas	334	62%
Lakefront Villas (2)	Texas	234	100%

(1) During the quarter, the Fund signed a "Purchase Sale Agreement" to sell its rights in Evolv located in Dallas, Texas. The initial invested capital by the Fund was US$ 19.8 million

(2) During the quarter, the Fund signed a "Purchase Sale Agreement" to sell its rights in Lakefront Villas located in Houston, Texas. The initial invested capital by the Fund was US$ 14.7 million

NOTE 6:- INVESTMENTS IN UNCONSOLIDATED ENTITIES

a. The following are investments accounted for using the equity method:

Name of property	Location	Units	% EMIF II
Beck at Wells Branch	Texas	576	50%
Hayden at Enclave	Texas	476	60%
The Logan	Texas	490	48%
Laurel Heights at City view	Texas	440	48%
The Regent	Texas	460	48%

NOTE 7:- INVESTMENTS IN UNCONSOLIDATED ENTITIES – HELD FOR SALE

The following are investments classified on the consolidated balance sheets as investments in unconsolidated entities held for sale:

Name of property	Location	Units	% EMIF II
Beck at Wells Branch	Texas	576	50%

During the quarter, The Fund signed a "Purchase Sale Agreement" to sell its rights in Beck at Wells Branch located in Austin, Texas. The initial invested capital by the Fund was US$ 34.6 million. The sale was completed on July 30, 2026. See Note 10.

NOTE 8:- BALANCES AND TRANSACTIONS WITH RELATED PARTIES

a. Related parties' balances consist of the following:

	June 30, 2026	December 31, 2025
	Unaudited	Audited
	U.S. dollars in thousands	
Assets:		
Receivables due from related parties	2,570	2,511
Liabilities:		
Payables due to related parties (1)	68,082	36,211
Accrued management fees	173	187
	68,255	36,398

(1) Other payables due to related parties on the consolidated statements of financial position represent cash held and owed to Fund's Blocker entities from declared distributions. As of June 30, 2026 the balance is $68 million. The cash is held in an interest-bearing account on behalf of the Fund's Blocker entities.

b. Transactions with related parties during the period consist of the following:

	June 30, 2026	June 30, 2025
	Unaudited	Unaudited
	U.S. dollars in thousands	
Management fees (1)	1,457	2,820

(1) See c(1) and c(2).

NOTE 8:- BALANCES AND TRANSACTIONS WITH RELATED PARTIES (Cont.)

c. Main agreements with related parties:

1. General partner management agreements:

The agreement determined that the General Partner is vested with the full, exclusive and complete right, power and discretion to operate, manage and control the affairs of the Partnership and to make all decisions affecting the Partnership's affairs, as deemed proper, convenient or advisable by the General Partner in pursuit of the business of the Partnership. The agreement includes details of decisions that are at the sole discretion of the General Partner and those requiring the consent of the limited partners. In return for the services provided by the General Partner, the General Partner will be entitled to various payments, including a monthly payment for management fees, reimbursement of expenses etc. as stipulated in the agreement.

2. Property management agreements:

In connection with the acquisition of the different properties, each of the property owners entered into a property management agreement with American Landmark Management LLC ("ALM"). ALM shall be responsible for the daily management of the property. ALM shall be responsible for the maintenance, repair and operation of the property, including the performance of all duties and responsibilities placed upon the property owner by any lease agreement or other contracts. Pursuant to the property management agreement, ALM is entitled to receive 2.5%-3% of the gross receipts for each of the properties ("the management fees").

Moreover, ALM shall be reimbursed by the property owner for specific expenses detailed in the agreements. The property management agreement shall remain in full force and effect for a period of two years from the commencement date, and thereafter for yearly periods from time to time unless written notice is given.

3. Construction management agreements:

In connection with the acquisition of the different properties, each of the property owners entered into a property management agreement with ALM. ALM shall be responsible for the supervision and management of the construction and rehabilitation of the property in accordance with the scope and budget for construction and rehabilitation. Pursuant to the construction management agreement, ALM is entitled to receive a fee equal to 4.0% of the hard costs of the construction ("the construction fees").

NOTE 9:- REAL ESTATE MORTGAGES, NET

The following is a summary of the Fund's non-recourse loans as of June 30, 2026:

Property	Loan principal amount in U.S. dollars	Maturity date	Interest rate	Non - recourse/ recourse	Reference
The View at Lakeside	42,700,000	January 2029	Fixed 10 UST+149	Non-recourse	(1)
Alon at Castle Hills	27,431,801	February 2027	4.50%	Non-recourse	(2)
The JaXon	22,830,321	October 2026	Libor +2.20%	Non-recourse	(3)
Evolv	31,260,135	July 2028	Fixed 10 UST+136	Non-recourse	(4)
Lakefront Villas	24,667,243	October 2026	Libor +2.20%	Non-recourse	(5)

(1) For the benefit of acquiring the View at Lakeside property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears a rate of UST+149 basis points, repayable in monthly installments of interest for the first eight years. Principal payments are due in monthly installments for the remaining period of two years.

(2) For the benefit of acquiring the Alon at Castle Hills property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears annual interest at a rate of 4.50%, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of seven years.

(3) For the benefit of acquiring The JaXon property, a mortgage was obtained from a financial institution for a period of 7 years. According to the loan terms, the loan bears annual interest at an adjustable rate with 30-day LIBOR + 2.20% basis points, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of four years

Real estate mortgages attributed to assets held for sale:

(4) For the benefit of acquiring the Evolv property, a mortgage was obtained from a financial institution for a period of 10 years. According to the loan terms, the loan bears a rate of UST+136 basis points, repayable in monthly installments of interest for the first five years. Principal payments are due in monthly installments for the remaining period of five years.

(5) For the benefit of acquiring the Lakefront Villas property, a mortgage was obtained from a financial institution for a period of 7 years. According to the loan terms, the loan bears annual interest at an adjustable rate with 30-day LIBOR + 2.20% basis points, repayable in monthly installments of interest for the first three years. Principal payments are due in monthly installments for the remaining period of four years.

NOTE 10:- SUBSEQUENT EVENTS

Management has evaluated all events transactions that occurred after June 30, 2026, through August 19, 2026 the date on which the statements were available and issued, and noted that the Fund sold its rights in the property named Beck at Wells Branch on July 30, 2026 for $86.0 million.

NOTE 11:- DIFFERENCES BETWEEN U.S. GAAP AND IFRS

The financial statements are prepared in accordance with U.S. GAAP, which differ in certain respects from IFRS. The differences which affect the balance sheets and statements of operations relate principally to the following items:

a. Reconciliation of consolidated balance sheets from U.S. GAAP to IFRS:

	June 30, 2026			
	As reported	Adjustment	As per IFRS	Note
	U.S. dollars in thousands			
Real estate, net	112,439	42,945	155,384	(1)
Investment in unconsolidated entities	13,657	40,989	54,646	(2)
Investment in unconsolidated entities – held for sale	11,615	5,111	16,726	
Assets held for sale	78,052	23,775	101,827	
Members' capital	73,285	112,820	186,105	

b. Reconciliation of consolidated profit or loss from U.S. GAAP to IFRS:

	Period ended June 30, 2026			
	As reported	Adjustment	As per IFRS	Note
	US dollars in thousands			
Depreciation	(3,680)	3,680	-	
Partnership's share of loss of entities accounted for at equity	(2,910)	(5,491)	(8,401)	
Partnership’s share of valuation	-	(12,007)	(12,007)	
Gain on sale	22,626	(22,626)	-	
Profit (Loss)	16,919	(36,444)	(19,525)	

NOTE 11:- DIFFERENCES BETWEEN U.S. GAAP AND IFRS (Cont.)

(1) Real estate, net - the investment properties are presented according to their fair value. Thus, for the conversion from U.S. GAAP to IFRS, those depreciation expenses are eliminated, and the real estate properties are presented according to their fair value. In addition, closing costs capitalized and included in the assets carrying value under US GAAP are expensed in accordance with IFRS.

(2) Investment in unconsolidated entities – the depreciation expenses of the real estate assets are eliminated, and the real estate properties are presented according to their Fair value. In addition, closing costs in association with acquiring the asset are expensed under IFRS and therefore eliminated from the carrying value of the asset. Thus, the investment in unconsolidated entities and the Partnership's share of profits of entities accounted for at equity are adjusted to reflect the elimination of depreciation and the addition of closing costs and valuations.

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TRANSCENDENT ELECTRA MANAGEMENT LLC

INTERIM CONSOLIDATED FINANCIAL STATEMENTS

AS OF JUNE 30, 2026

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Auditors' review report

to the Members of

TRANSCENDENT ELECTRA MANAGEMENT LLC

Introduction

We have reviewed the accompanying financial information of Transcendent Electra Management LLC ("The Company"), which comprises the interim consolidated financial position as of June 30, 2026 and the related interim consolidated statements of profit or loss and comprehensive income, changes in members' capital and cash flows for the six months period then ended. The Company's management is responsible for the preparation and presentation of interim financial information for these periods in conformity with U.S. generally accepted accounting principles. Our responsibility is to express a conclusion on this interim financial information based on our review.

Scope of review

We conducted our review in accordance with Review Standard 2401 of the Institute of Certified Public Accountants in Israel, "Review of interim Financial Information Performed by the independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards in Israel and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review nothing has come to our attention that causes us to believe that the accompanying interim financial information is not prepared, in all material respects, in conformity with U.S. generally accepted accounting principles.

Tel-Aviv, Israel
August 19, 2026

KOST FORER GABBAY & KASIERER
A Member of Ernst & Young Global

INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Note	June 30, 2026 Unaudited	December 31, 2025 Audited
		U.S. dollars in thousands	
ASSETS			
CURRENT ASSETS:			
Cash		1,198	863
Accounts receivable	4	880	883
Prepaid expenses and others		1,733	1,563
NON-CURRENT ASSETS:			
Due from related parties		236	-
Right of use asset, net		649	725
Fixed assets, net		590	658
Total assets		5,286	4,692
LIABILITIES AND MEMBERS' CAPITAL			
Due to related parties		86	68
Accounts payables (including related parties)	5	2,853	3,764
Right of use liability		711	782
Total liabilities		3,650	4,614
MEMBERS' CAPITAL			
Members' equity		1,636	78
Noncontrolling interests		-	-
		1,636	78
Total liabilities and members' capital		5,286	4,692

The accompanying notes are an integral part of the interim consolidated financial statements.

August 19, 2026		
Date of approval of the financial statements	John Isakson CEO	Joe Lubeck Member

INTERIM CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Note	Six months ending June 30, 2026 Unaudited	2025 Unaudited
		U.S. dollars in thousands	
Revenue	6	4,944	4,542
Operating expenses		12,801	12,401
Operating loss		(7,857)	(7,859)
Depreciation		225	213
Loss		(8,082)	(8,072)
Total comprehensive loss		(8,082)	(8,072)

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN MEMBERS' CAPITAL

	Members' capital	Non-controlling interest	Total capital
	U.S. dollars in thousands		
Balance as of January 1, 2026 (audited)	78	-	78
Members' contributions, net	9,640	-	9,640
Loss in the period	(8,082)	-	(8,082)
Balance as of June 30, 2026 (unaudited)	1,636	-	1,636

	Members' capital	Non-controlling interest	Total capital
	U.S. dollars in thousands		
Balance as of January 1, 2025 (audited)	(550)	-	(550)
Members' contributions, net	10,018	-	10,018
Loss in the period	(8,072)	-	(8,072)
Balance as of June 30, 2025 (unaudited)	1,396	-	1,396

The accompanying notes are an integral part of the interim consolidated financial statements.

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months ending June 30,	
	2026	2025
	Unaudited	Unaudited
	U.S. dollars in thousands	
Cash flows from operating activities:		
Loss	(8,082)	(8,072)
Adjustments to reconcile loss to net cash from operating activities:		
Depreciation	225	213
Non-cash operating lease expense	4	53
Change in operating assets and liabilities:		
Decrease (increase) in accounts receivable	78	(50)
Increase in prepaid expenses and other assets	(89)	(42)
Decrease in accounts payable	(910)	(499)
Decrease in due to related parties	(218)	(720)
Net cash used in operating activities	(8,992)	(9,117)
Cash flows from investing activities:		
Capitalized software costs	(238)	(60)
Purchases of real estate assets	-	(102)
Net cash used in investing activities	(238)	(162)
Cash flows from financing activities:		
Member contributions	9,565	10,018
Net cash provided by financing activities	9,565	10,018
Net increase in cash and restricted cash	335	739
Cash and restricted cash at the beginning of the year	863	540
Cash and restricted cash at the end of the period	1,198	1,279

The accompanying notes are an integral part of the interim consolidated financial statements.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1: GENERAL

Transcendent Electra Management LLC ("the Company") is a limited liability company formed under the laws of Florida on March 31, 2021.

The purpose of the Company is to own and operate a property management business focused on managing multifamily properties.

NOTE 2: SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation of the financial statements

The summary of significant accounting policies presented below is designed to assist in understanding the Company's financial statements. These financial statements have been prepared in accordance with accounting principles generally accepted in the U.S. ("U.S. GAAP"), in all material respects.

Principles of consolidation:

The consolidated financial statements incorporate the financial statements of the Company and all of its subsidiaries. Intercompany transactions and balances have been eliminated upon consolidation.

a. Use of estimates:

The preparation of the consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

b. Functional currency and presentation currency:

The functional currency of the Company and its investees is the U.S. dollar as it is the currency of the primary economic environment in which the Company is operating.
The Company has elected to use the U.S. dollar as its reporting currency for all periods presented.

c. Revenue recognition:

Following are the specific revenue recognition criteria which must be met before revenue is recognized:

Acquisition fees:

The Company is entitled to acquisition fee. Such commissions are included under income in the statement of profit and loss.

NOTE 2:- SIGNIFICANT ACCOUNTING POLICIES (Cont.)

c. Revenue recognition (cont.):

Management income:

Management income is recognized on a straight -line basis over the management term.

d. Income taxes:

As a limited liability company, the Company is treated as a partnership for federal and state income tax purposes and, accordingly, is not subject to company-level tax. Taxable income or losses are allocated to the members in accordance with the Operating Agreement.

Therefore, no provision or liability for income taxes has been included in the accompanying financial statements. The Company is subject to U.S. federal and state examinations by taxing authorities.

NOTE 3:- DISCLOSURE OF NEW STANDARDS IN THE PERIOD PRIOR TO THEIR ADOPTION

a. In July 2025, the FASB issued ASU 2025-05, to address complexities in applying current expected credit losses for current accounts receivable and contract assets. The amendments allow entities to make an accounting policy election to apply a practical expedient when estimating expected credit losses for certain assets, which allows entities to assume that economic conditions at the balance sheet date will remain unchanged for the remaining life of those assets. The Company adopted the provisions of the amendments as of January 1, 2026. The adoption of this amendment did not have a material impact on the Company's consolidated financial statements.

b. In December 2025, the FASB issued ASU 2025-11, Interim Reporting (Topic 270): Narrow-Scope Improvements, which clarifies the guidance in Topic 270 to improve the consistency of interim financial reporting. The ASU provides a comprehensive list of required interim disclosures and introduces a disclosure principle requiring entities to disclose events since the end of the last annual reporting period that have a material impact on the entity. ASU 2025-11 is effective for fiscal years beginning after December 15, 2028, including interim periods within those fiscal years, with early adoption permitted. The Company is currently evaluating the impact of adopting ASU 2025-11.

NOTE 4:- ACCOUNTS RECEIVABLE

Accounts receivables are based on management agreements with affiliated parties. The Company earns fees based upon a stated percentage of rent and other fee collections on a monthly basis. Since such amounts are due from affiliate parties all accounts receivable are deemed collectible by management.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

NOTE 5:- ACCOUNTS PAYABLE AND ACCRUED EXPENSES

	Six months ending June 30,	
	2026	2025
	Unaudited	Unaudited
	U.S. dollars in thousands	
Accounts payable	293	306
Accrued expenses (including related party)	2,560	3,458
Accounts payable and accrued expenses	2,853	3,764

NOTE 6:- INCOME

	Six months ending June 30,	
	2026	2025
	Unaudited	Unaudited
	U.S. dollars in thousands	
Property management fee	3,504	3,330
Leasing commissions	1,096	1,153
Asset management fee	266	-
Acquisition fee	48	17
Other income	30	42
Total revenue	4,944	4,542

NOTE 7:- SUBSEQUENT EVENTS

Management has evaluated all events and transactions that occurred after June 30, 2026, through August 19, 2026, the date which the statements were available and issued, and noted no items requiring adjustments of the statements or additional disclosures.

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